

Chapter 6

What Affects the Market

The forces that set the price of a barrel — from wells and weather to war and the dollar

Small change, violent reaction

10.5M

barrels a day offline, April 2026

When the Strait of Hormuz closed, Gulf producers shut in about a tenth of world output. Brent crude reacted by spiking to a \$138 intraday peak — the clearest proof that oil prices move far more than the imbalance that causes them.

Demand is inelastic — People cannot quickly change how much they drive, fly, or heat. When supply falls, price — not consumption — does the adjusting.

Supply is slow — New barrels take years to develop. The market cannot simply summon more oil when it is needed most.

Everything is priced at the margin — The last barrel sets the price for all of them. A small shortfall or surplus at the edge swings the entire market.

Supply — where the barrels come from

OPEC+ versus the rest — OPEC and its allies pump roughly half of the world's oil and act with intent. The other half comes from independent producers responding mainly to price.

The US swing — American output set a record near 13.6 million barrels per day in 2025, led by the Permian Basin, which alone supplies close to half of US production.

Decline is constant — Every field depletes. The world must add millions of barrels of new supply each year just to stand still, which makes drilling activity a key price signal.

Disruption risk — Sanctions, outages, and conflict can remove supply without warning. In April 2026, Gulf producers shut in about 10.5 million barrels per day.

Demand — who burns the oil

Tied to growth — Oil demand tracks the global economy. When GDP expands, factories, trucks, and planes consume more; in a downturn, demand softens quickly.

Transport dominates — Roughly half of all oil is burned as road fuel. Aviation, shipping, and petrochemicals account for most of the rest.

The center of gravity has shifted — Demand growth now comes overwhelmingly from Asia, led by China and India, while mature OECD economies are flat to declining.

Inelastic in the short run — People cannot quickly change how much they drive or fly. Because demand barely flexes, price rather than volume does most of the adjusting.

Inventories — the market's gauge

The balance made visible — Stocks rise when supply exceeds demand and fall when it lags. Inventory levels are the clearest real-time read on whether the market is tight or loose.

The weekly ritual — US inventory data is among the most-watched releases in all of commodities; a surprise build or draw can move price within seconds.

Days of cover — Traders watch stocks relative to demand, not just the raw number. A low number of days of cover signals vulnerability to any disruption.

Strategic reserves — Governments hold emergency stockpiles. The US Strategic Petroleum Reserve, around 398 million barrels in early 2026, can be released to blunt a supply shock.

Spare capacity — the shock absorber

The cushion — Spare capacity is oil that can be brought online quickly but is deliberately held back. It is the market's insurance against sudden supply losses.

Concentrated in a few hands — Almost all usable spare capacity sits with Saudi Arabia and the UAE. When it is ample, prices stay calm; when it is thin, every disruption bites harder.

The fear premium — A market with little spare capacity prices in a standing risk premium, because there is no buffer left to cover the next outage.

2026 in focus — With Gulf output stranded behind a closed strait, even Saudi Arabia struggled to deliver its spare barrels — and prices reflected the missing cushion.

Geopolitics and the chokepoints

Oil is political — More than any other commodity, crude is shaped by war, sanctions, and diplomacy. A large share of reserves sits in a handful of often-volatile regions.

The chokepoints — A few narrow waterways carry most seaborne oil. The Strait of Hormuz alone normally handles about a fifth of the world's oil and LNG.

The risk premium — Markets price the probability of disruption, not just the disruption itself. Tension near a chokepoint can lift prices before a single barrel is lost.

The 2026 proof — When transit through Hormuz halted, Brent spiked toward \$138 a barrel — a textbook case of geopolitics overwhelming fundamentals.

The macro lens — money and growth

Priced in dollars — Crude is quoted and settled in US dollars. When the dollar strengthens, oil becomes costlier for the rest of the world, which can weigh on demand and price.

Interest rates — Higher rates raise the cost of holding inventory and of financing production, and they cool the very economy that consumes the oil.

The growth signal — Because oil demand tracks activity, traders treat the barrel as a barometer of the global economy; recession fears alone can sink the price.

Inflation feedback — Oil feeds directly into transport and production costs, so its price loops back into the inflation and rate decisions that move it.

Paper money — flows and sentiment

Bigger than the physical market — Financial trading dwarfs the volume of real barrels. The positions of funds and banks can move price independently of fundamentals.

Managed money — Hedge funds and speculators take large directional bets. When positioning grows crowded, the unwind can be as violent as the original move.

Momentum and algorithms — A growing share of volume is rule-driven, amplifying trends and accelerating both rallies and sell-offs.

Sentiment is real — Expectations about future supply and demand are priced today. The market often moves on the story before the fundamentals confirm it.

Seasonality and weather

The driving season — Gasoline demand rises through the northern-hemisphere summer, while winter lifts demand for heating fuels. The calendar has a rhythm traders anticipate.

Refinery turnarounds — Plants shut for maintenance in spring and autumn, tightening product supply and widening the spread between crude and fuels.

Storms and cold snaps — Hurricanes can shut Gulf production and refining within days; a deep freeze can spike heating demand and disrupt output at the same time.

A predictable overlay — Seasonality rarely sets direction on its own, but it shapes the timing and the magnitude of the moves that fundamentals drive.

The long arc — the energy transition

The structural force — Beyond day-to-day swings, electrification and efficiency are slowly bending the demand curve. The IEA expects oil-demand growth to stay well below its historical trend.

Electric vehicles — As EVs displace gasoline cars, the single largest source of oil demand begins to erode — first in advanced economies, then more widely.

Policy and capital — Climate rules and shifting investment shape how much new supply gets built, affecting price years before any barrel is produced.

Uneven and uncertain — The transition is real but gradual. For now the world still burns more than 100 million barrels a day, and oil remains central to the economy.

Conclusion — price is the sum of forces

No single driver — At any moment, supply, demand, inventories, geopolitics, the dollar, and sentiment all push at once. The price is their net result.

The market is a razor — Because demand is inelastic, small imbalances produce outsized price moves. This is why oil is among the most volatile of all commodities.

Read the balance — The skilled trader does not chase headlines but asks whether each force is tightening or loosening the underlying supply-and-demand balance.

What to remember — Every barrel's price encodes a global argument about scarcity and risk. Learning to read the forces behind it is what the rest of this course builds on.